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Financial Dictionary

Quick Reference

500 essential finance terms, each with a clear one or two sentence definition. Small enough to keep on your phone.

PLAIN-ENGLISH FINANCE TERMS

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500 essential finance terms, each with a short, plain-English definition. Listed A to Z, so you can find a word fast.

Finding a term

Tap a letter in the bar at the top of any page to jump to it, or use the row below.

A B C D E F G H I J K L M N O P Q R S T U V W X Y Z

Prefer to browse by topic? The pages at the back list every term under its subject.

Read the full explanation

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The small dots

The dots after a term show where to start. One filled dot is a beginner term, two are intermediate, three are advanced. You can ignore them if you like.

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A

Accounting •••

Accounting is the process of recording, organising and reporting a business's financial transactions so that owners, managers, investors, lenders and governments can understand its financial position and performance.

Accounting Equation •••

The accounting equation states that a business's assets equal its liabilities plus its equity. Everything a business owns is financed either by borrowing or by its owners.

Accounts Payable •••

Accounts payable is the money a business owes to its suppliers for goods or services it has received but not yet paid for.

Accounts Receivable •••

Accounts receivable is the money customers owe a business for goods or services they have received but not yet paid for.

Accrual Accounting •••

Accrual accounting records income when it is earned and expenses when they are incurred, regardless of when cash actually changes hands.

Accrued Expense •••

An accrued expense is a cost a business has already incurred but has not yet paid or been billed for by the end of the reporting period.

Accrued Revenue •••

Accrued revenue is income a business has earned by delivering goods or services but has not yet billed or received by the end of the reporting period.

Accumulated Depreciation •••

Accumulated depreciation is the total depreciation charged on an asset since it was bought. It is subtracted from the asset's original cost to show its current book value.

Adjusting Entry •••

An adjusting entry is a journal entry made at the end of an accounting period to update account balances so that revenue and expenses are recorded in the correct period.

After-Tax Cost of Debt •••

The after-tax cost of debt is the interest rate a company pays on its borrowing after taking into account the tax savings from deducting interest from taxable profit.

Allowance for Doubtful Accounts •••

An allowance for doubtful accounts is an estimate of how much of a business's accounts receivable will not be collected. It reduces the receivables shown on the balance sheet to the amount the business realistically expects to receive.

American Option •••

An American option is an option that can be exercised at any time up to and including its expiration date.

Amortization •••

Amortization is the gradual repayment of a loan through regular payments that cover both interest and part of the principal, so that the loan is fully repaid by the end of its term.

Amortization Expense •••

Amortization expense is the portion of an intangible asset's cost, such as a patent, software licence or customer contract, that is charged to the income statement in a period as the asset is used up.

Annual Percentage Rate (APR) •••

The annual percentage rate (APR) is the yearly cost of borrowing expressed as a percentage. It includes the interest rate and, in many cases, certain fees, so different loans can be compared more fairly.

Annual Percentage Yield (APY) •••

The annual percentage yield (APY) is the actual return earned on a savings account or deposit in one year, including the effect of compounding.

Annuity •••

An annuity is a series of equal payments made at regular intervals for a set period, such as monthly loan repayments or yearly pension payments. The word is also used for an insurance product that provides a guaranteed income, often in retirement.

Arithmetic Mean •••

The arithmetic mean is the sum of a set of values divided by the number of values. It is what most people mean by "the average".

Ask Price •••

The ask price is the lowest price a seller is currently willing to accept for a security. It is also called the offer price.

Asset •••

An asset is anything you own or control that has value and is expected to provide a future benefit, such as cash, investments, property, equipment or money others owe you.

Asset Allocation •••

Asset allocation is the way an investor divides their money among different types of assets, such as shares, bonds, property and cash.

Assignment (Option) ●●○

Assignment, for options, is the notice received by an option seller that the buyer has exercised the option, obliging the seller to fulfil the contract.

At-the-Money ●●○

An option is at the money when its strike price is equal to, or very close to, the current price of the underlying asset.

B

Bad Debt ●○○

Bad debt is money owed to a business that it does not expect to collect, usually because a customer cannot or will not pay.

Balance Sheet ●○○

A balance sheet is a financial statement that shows what a business owns, what it owes and what belongs to its owners at a specific date.

Bank ●○○

A bank is a financial institution that accepts deposits from customers, lends money to individuals and businesses, and provides services such as payments and currency exchange.

Bank Capital ●●○

Bank capital is the money a bank's owners have invested in it, together with profits it has kept, which acts as a cushion to absorb losses before depositors and other creditors are affected.

Bank Run ●○○

A bank run happens when large numbers of customers withdraw their deposits at the same time because they fear the bank may fail.

Bank Transfer ●○○

A bank transfer is the electronic movement of money from one bank account to another, either within the same bank or between different banks.

Bankruptcy ●○○

Bankruptcy is a legal process for people or businesses that cannot repay their debts. It allows debts to be reorganised or wiped out, usually in exchange for giving up some assets and accepting restrictions.

Base Case ●○○

The base case is the most likely or expected scenario in a financial forecast, built on realistic assumptions about how the business and the economy will perform.

Benchmark •••

A benchmark is a standard, usually a market index, against which the performance of an investment, fund or portfolio is measured.

Bermudan Option •••

A Bermudan option is an option that can be exercised only on certain specified dates before expiry, as well as on the expiration date itself.

Best-Case Scenario •••

The best-case scenario is a forecast based on optimistic but still plausible assumptions, showing how good results could be if things go well.

Beta •••

Beta is a measure of how much an investment's price tends to move compared with the overall market. A beta of 1 means it moves in line with the market; above 1 means it moves more, and below 1 means it moves less.

Bid-Ask Spread •••

The bid-ask spread is the difference between the highest price a buyer will pay for a security and the lowest price a seller will accept.

Bid Price •••

The bid price is the highest price a buyer is currently willing to pay for a security, such as a share or bond.

Bond •••

A bond is a loan that an investor makes to a government or company. The issuer promises to pay regular interest and to repay the original amount on a set date.

Bond Duration •••

Bond duration measures how sensitive a bond's price is to changes in interest rates. It is expressed in years and can be used to estimate the percentage change in price for a one-percentage-point change in yield.

Bond Price •••

A bond price is the amount investors are willing to pay for a bond in the market. It is often quoted as a percentage of the bond's face value.

Bookkeeping •••

Bookkeeping is the day-to-day recording of a business's financial transactions, such as sales, purchases, payments and receipts, in an organised way.

Borrower •••

A borrower is a person, business or government that receives money from a lender and agrees to pay it back later, usually with interest.

Brand Equity

Brand equity is the extra value a company gains from having a well-known and well-regarded brand, beyond the value of the product itself.

Break-Even Analysis

Break-even analysis works out the level of sales at which a business's total revenue exactly covers its total costs, so it makes neither a profit nor a loss.

Broker

A broker is a person or firm that arranges transactions between buyers and sellers in return for a fee or commission, without usually owning the asset being traded.

Brokerage

A brokerage is a firm that buys and sells securities on behalf of its clients and usually provides accounts, research and other investment services.

Budget

A budget is a plan for how money will be earned and spent over a set period, such as a month or a year. It sets limits for spending in different categories and shows how much can be saved.

Budget Variance

A budget variance is the difference between a budgeted amount and the actual result, such as actual sales or costs compared with what was planned.

Bull Call Spread

A bull call spread is an options strategy that involves buying a call option and selling another call option with a higher strike price on the same asset and expiry, to profit from a moderate price rise at a lower cost.

Business Model

A business model describes how a company creates value for its customers and makes money from doing so.

Business Plan

A business plan is a written document that sets out a business's goals, strategy, target market, operations and financial forecasts, and explains how it intends to succeed.

Business Valuation

Business valuation is the process of estimating the total economic value of a company or business, often for a sale, investment, merger, tax, legal or financial reporting purpose.

Butterfly Spread

A butterfly spread is an options strategy that combines options at three different strike prices to profit if the underlying asset's price stays close to a particular level at expiry, with limited risk and limited reward.

C

Calendar Year •○○

A calendar year is the standard twelve-month period from 1 January to 31 December.

Call Option ••○

A call option is a contract that gives its buyer the right, but not the obligation, to buy an asset at a set price, the strike price, on or before a specific date.

Capital Account (Balance of Payments) ••○

The capital account, in the balance of payments, records certain transfers of capital and the purchase or sale of non-produced, non-financial assets between a country and the rest of the world.

Capital Adequacy Ratio ••○

The capital adequacy ratio is a measure of a bank's capital compared with its risk-weighted assets. It shows whether the bank has enough capital to absorb potential losses.

Capital Allocation •○○

Capital allocation is how a company decides to use its available money among competing options, such as investing in growth, buying other businesses, paying down debt or returning cash to shareholders.

Capital Asset Pricing Model (CAPM) ••○

The Capital Asset Pricing Model (CAPM) is a widely used method for estimating the return investors should expect from an asset, based on the risk-free rate, the extra return expected from the market and the asset's sensitivity to market movements.

Capital Budgeting •○○

Capital budgeting is the process a company uses to evaluate and choose major long-term investments, such as new equipment, factories, products or acquisitions.

Capital Expenditure •○○

Capital expenditure is money a business spends to buy, upgrade or extend the life of long-term physical assets, such as buildings, machinery, vehicles or technology.

Capital Gain •○○

A capital gain is the profit made when an asset, such as a share, property or bond, is sold for more than its purchase price.

Capital Structure ••○

Capital structure is the mix of debt and equity a company uses to finance its operations and assets.

Cash •••

Cash is money that is immediately available to spend, including coins, banknotes and money in bank accounts that can be withdrawn at any time.

Cash Balance •••

A cash balance is the amount of cash held at a specific moment, such as the money in a bank account at the end of a day or a month.

Cash-Basis Accounting •••

Cash-basis accounting records income only when cash is received and expenses only when cash is paid out.

Cash Budget •••

A cash budget is a plan that estimates how much cash will come in and go out over coming weeks or months, showing whether there will be enough cash to pay the bills on time.

Cash Flow Forecast •••

A cash flow forecast is an estimate of the cash a business expects to receive and pay out over a future period, usually week by week or month by month.

Cash Flow from Financing •••

Cash flow from financing is the section of the cash flow statement that shows cash moving between a company and its lenders and owners, such as borrowing, repaying debt, issuing shares and paying dividends.

Cash Flow from Investing •••

Cash flow from investing is the section of the cash flow statement that shows cash spent on, or received from, long-term assets and investments.

Cash Flow Statement •••

The cash flow statement shows how much cash came into and went out of a business during a period, grouped into operating, investing and financing activities.

Cash Reserve •••

A cash reserve is money deliberately set aside and kept easily accessible to cover unexpected costs, shortfalls in income or short-term needs.

Central Bank •••

A central bank is the public institution that manages a country's or region's currency, money supply and interest rates, and oversees the stability of the banking system.

Certificate of Deposit (CD) •••

A certificate of deposit (CD) is a type of time deposit offered by banks and credit unions that pays a fixed interest rate for a fixed term, such as six months, one year or five years.

Chart of Accounts

A chart of accounts is a complete, organised list of all the accounts a business uses to record its transactions, usually grouped by type and given reference numbers.

Checking Account

A checking account is a bank account used for everyday transactions, such as receiving pay, paying bills, making card payments and withdrawing cash.

Churn Rate

The churn rate is the percentage of customers who stop using a company's product or service during a given period.

Closing Entry

A closing entry is a journal entry made at the end of an accounting period to move the balances of revenue, expense and dividend accounts into retained earnings, resetting those accounts to zero for the next period.

Coefficient of Determination (R-Squared)

The coefficient of determination, written R-squared, is a measure of how much of the variation in a dependent variable is explained by a regression model. It ranges from 0 to 1.

Collateral

Collateral is an asset that a borrower pledges to a lender as security for a loan. If the loan is not repaid, the lender can take the asset and sell it.

Commercial Bank

A commercial bank is a bank that takes deposits and makes loans to individuals and businesses, providing everyday banking services such as current accounts, savings accounts, loans and payments.

Common Resource

A common resource is a good that is rivalrous, meaning one person's use reduces what is available to others, but non-excludable, meaning it is hard to stop people from using it. Examples include ocean fish, groundwater and clean air.

Common Stock

Common stock is the standard type of company ownership. It gives holders voting rights and a share of profits, but they are paid last if the company is wound up.

Comparable Company Analysis

Comparable company analysis is a valuation method that estimates a company's value by comparing it with similar publicly traded companies, using valuation multiples such as price-to-earnings or EV/EBITDA.

Competitive Advantage •••

A competitive advantage is a feature or capability that allows a business to outperform its rivals, for example by offering better value, charging higher prices or operating at lower cost.

Complementary Good •••

A complementary good is a product that is typically used together with another, so that demand for one depends on demand for the other, such as printers and ink or cars and petrol.

Compound Annual Growth Rate (CAGR) •••

The compound annual growth rate (CAGR) is the steady yearly growth rate that would take a value from its starting point to its ending point over a number of years, assuming growth compounds each year.

Compound Interest •••

Compound interest is interest calculated on your original money and on the interest it has already earned, so your balance grows a little faster each period.

Compounding Frequency •••

Compounding frequency is how often interest is calculated and added to a balance, such as yearly, quarterly, monthly or daily.

Confidence Interval •••

A confidence interval is a range of values, calculated from sample data, that is likely to contain the true value of an unknown population measure, such as an average, with a stated level of confidence.

Consistency Principle •••

The consistency principle is the accounting rule that a business should use the same accounting methods from one period to the next, so that its results can be compared fairly over time.

Consumer Price Index (CPI) •••

The Consumer Price Index (CPI) is a measure of the average change over time in the prices paid by households for a typical basket of goods and services. It is the most common way of measuring inflation.

Consumer Surplus •••

Consumer surplus is the difference between the maximum amount a buyer is willing to pay for a good and the price they actually pay. It measures the extra benefit buyers receive from a purchase.

Convexity •••

Convexity measures how a bond's sensitivity to interest rates itself changes as rates move. It explains why bond prices do not change in a straight line when yields rise or fall.

Copyright •••

Copyright is a legal right that protects original creative works, such as books, music, films, artwork, photographs and software, giving the creator exclusive rights to copy, distribute and adapt them.

Corporate Bond •••

A corporate bond is a bond issued by a company to borrow money from investors, paying regular interest and repaying the face value at maturity.

Corporate Finance •••

Corporate finance is the area of finance that deals with how companies raise money, decide where to invest it and manage it to increase their value for owners.

Correlation •••

Correlation is a statistical relationship between two variables, describing whether and how strongly they tend to move together.

Correlation Coefficient •••

The correlation coefficient is a number between -1 and +1 that measures the strength and direction of the straight-line relationship between two variables.

Correspondent Bank •••

A correspondent bank is a bank that provides services, such as making payments or handling currency transactions, on behalf of another bank, often in a different country.

Cosigner •••

A cosigner is a person who signs a loan together with the main borrower and becomes equally responsible for repaying it.

Cost of Capital •••

The cost of capital is the minimum return a company must earn on its investments to satisfy the people who provide its funding, its lenders and shareholders.

Cost of Debt •••

The cost of debt is the effective interest rate a company pays on the money it borrows, through loans and bonds.

Cost of Equity •••

The cost of equity is the return shareholders expect to earn for investing in a company's shares, given the risk they are taking.

Cost of Goods Sold •••

Cost of goods sold is the direct cost of the products a business sold during a period, including materials, direct labour and production overheads.

Cost of Living •••

The cost of living is the amount of money needed to pay for a basic standard of living in a particular place and time, including housing, food, transport, healthcare and other everyday necessities.

Coupon •••

A coupon is the regular interest payment a bond pays to its holder, usually once or twice a year.

Coupon Rate •••

The coupon rate is the annual interest rate a bond pays, expressed as a percentage of its face value.

Covariance •••

Covariance is a measure of how two variables move together. A positive covariance means they tend to rise and fall together; a negative covariance means one tends to rise when the other falls.

Covered Call •••

A covered call is an options strategy in which an investor who owns shares sells call options on those same shares to earn extra income from the premium.

Credit •••

Credit is the ability to borrow money or buy goods and services now, with an agreement to pay later. It also describes the trust a lender places in a borrower to repay.

Credit Card •••

A credit card is a payment card that lets you borrow money from the card issuer, up to a set limit, to pay for purchases, with the option to repay in full or over time with interest.

Credit History •••

Credit history is the record of how you have borrowed and repaid money over time. It shows lenders how reliably you have managed credit in the past.

Credit Limit •••

A credit limit is the maximum amount a lender allows you to borrow on a credit card or line of credit.

Credit Report •••

A credit report is a detailed record of your borrowing and repayment history, kept by a credit bureau and used by lenders to judge your creditworthiness.

Credit Score •••

A credit score is a number that summarises how likely you are to repay borrowed money, based on information in your credit report. Lenders use it to decide whether to lend to you and at what interest rate.

Credit Spread •••

A credit spread is the difference between the yield on a bond with credit risk, such as a corporate bond, and the yield on a government bond of similar maturity that is considered safe.

Credit Underwriting •••

Credit underwriting is the process a lender uses to evaluate a borrower's creditworthiness and decide whether to approve a loan, how much to lend and on what terms.

Credit Union •••

A credit union is a not-for-profit financial cooperative owned by its members, which provides savings accounts, loans and other banking services to those members.

Credit Utilization •••

Credit utilization is the share of your available revolving credit that you are currently using, expressed as a percentage.

Cross-Price Elasticity •••

Cross-price elasticity measures how the quantity demanded of one good responds to a change in the price of another good.

Currency •••

A currency is the specific form of money used in a country or region, such as the euro, the US dollar or the Indian rupee. It is issued by a government or central bank and used to price goods and settle debts.

Current Account (Balance of Payments) •••

The current account, in the balance of payments, records a country's transactions with the rest of the world in goods, services, income and transfers over a period.

Current Asset •••

A current asset is an asset that a business expects to convert into cash, sell or use up within one year or within its normal operating cycle, if that is longer.

Current Liability •••

A current liability is an obligation a business expects to pay within one year or within its normal operating cycle, if that is longer.

Current Yield •••

Current yield is a bond's annual coupon payment divided by its current market price, showing the income return an investor receives at today's price.

Customer Acquisition Cost •••

Customer acquisition cost is the average amount a business spends to win one new customer, including marketing, advertising and sales costs.

Customer Lifetime Value •••

Customer lifetime value is the total profit a business expects to earn from a customer over the entire period of their relationship.

Customer Retention •••

Customer retention is a business's ability to keep its existing customers over time, and the strategies it uses to do so.

D

Deadweight Loss •••

Deadweight loss is the loss of total economic benefit to society that occurs when a market does not operate at its efficient level, often because of taxes, price controls or monopoly power.

Dealer •••

A dealer is a person or firm that buys and sells securities for their own account, acting as the other party in a trade and profiting from the difference between buying and selling prices.

Debit •••

A debit is an entry on the left side of an account in double-entry bookkeeping. Debits increase asset and expense accounts and decrease liability, equity and revenue accounts.

Debt •••

Debt is money that one party owes to another. It arises when a person, business or government borrows money or buys something now and agrees to pay later.

Debt Avalanche •••

The debt avalanche is a debt repayment method in which you pay off the debt with the highest interest rate first while making minimum payments on the rest, then move to the next highest rate.

Debt Balance •••

A debt balance is the total amount still owed on a debt at a particular moment, including any unpaid interest and fees that have been added.

Debt Snowball •••

The debt snowball is a debt repayment method in which you pay off your smallest debt first while making minimum payments on the rest, then roll that payment into the next smallest debt.

Debt-to-Income Ratio •••

The debt-to-income ratio compares how much a person pays towards debts each month with how much they earn before tax. It is expressed as a percentage.

Deductible •••

A deductible is the amount the policyholder must pay out of their own pocket on an insurance claim before the insurer starts paying.

Default •••

Default is a failure to meet the terms of a loan or debt, most commonly by not making required payments. It can also mean breaking other conditions in a loan agreement.

Delinquency •••

Delinquency is the state of being behind on a required payment for a loan or bill. An account becomes delinquent as soon as a payment is missed.

Demand •••

Demand is the quantity of a good or service that buyers are willing and able to purchase at different prices over a period of time.

Demand Curve •••

A demand curve is a graph showing the relationship between the price of a good and the quantity buyers are willing to purchase at each price, with all other factors held constant.

Demand Deposit •••

A demand deposit is money held in a bank account that can be withdrawn at any time, without advance notice or penalty, such as the balance in a current or checking account.

Deposit •••

A deposit is money placed into a bank or other financial institution for safekeeping, which the depositor can later withdraw, often earning interest.

Deposit Beta •••

Deposit beta measures how much of a change in central bank or market interest rates a bank passes on to the interest rates it pays depositors.

Deposit Flight •••

Deposit flight is the movement of deposits out of a bank, a group of banks or a country, usually because depositors are worried about safety or can earn better returns elsewhere.

Deposit Insurance •••

Deposit insurance is a government-backed scheme that protects bank customers' deposits, up to a set limit, if their bank fails.

Depreciation •••

Depreciation is the process of spreading the cost of a physical long-term asset, such as a machine, vehicle or building, over the years it is expected to be used.

Derivative •••

A derivative is a financial contract whose value depends on, or is derived from, the price of something else, such as a share, bond, currency, commodity or interest rate.

Digital Wallet •••

A digital wallet is a software application, usually on a smartphone, that securely stores payment information so users can pay for goods and services electronically without a physical card or cash.

Diminishing Marginal Utility ●●○

Diminishing marginal utility is the principle that each additional unit of a good or service usually gives less extra satisfaction than the one before it.

Discount Factor ●●○

A discount factor is the number that a future cash flow is multiplied by to convert it into its present value. It is always less than 1 for positive discount rates and future dates.

Discount Period ●●○

The discount period is the length of time, usually measured in years, over which a future cash flow is discounted back to its present value.

Discount Rate ●○○

A discount rate is the interest rate used to convert future cash flows into their value today. A higher discount rate makes future money worth less in today's terms.

Discounted Cash Flow (DCF) ●●○

Discounted cash flow (DCF) is a valuation method that estimates the value of an investment or company by forecasting the cash it will generate in the future and discounting that cash back to its value today.

Discounted Payback Period ●●○

The discounted payback period is the time it takes for an investment to recover its initial cost from its future cash flows, after converting those cash flows into today's values.

Discretionary Income ●○○

Discretionary income is the money left after paying taxes and essential living costs such as housing, food, utilities and transport. It can be spent on wants, saved or invested.

Disposable Income ●○○

Disposable income is the money left from your income after taxes and compulsory deductions have been taken out. It is what you actually have available to spend or save.

Diversification ●○○

Diversification is spreading investments across many different assets so that a loss in any one of them has a smaller effect on the whole portfolio.

Dividend ●○○

A dividend is a payment a company makes to its shareholders, usually in cash, as a share of its profits.

Dividend Discount Model (DDM) ●●○

The dividend discount model (DDM) is a valuation method that estimates the value of a share as the present value of all the dividends it is expected to pay in the future.

Double-Entry Bookkeeping •••

Double-entry bookkeeping is a system in which every transaction is recorded in at least two accounts, with equal debits and credits, so that the books always balance.

E

Earned Income •••

Earned income is money received in return for work, such as wages, salaries, bonuses, tips, commissions and profits from running your own business.

Earnings Growth •••

Earnings growth is the percentage change in a company's profit, usually net income or earnings per share, from one period to another.

Earnings Per Share (EPS) •••

Earnings per share (EPS) is a company's net income divided by the number of its shares outstanding. It shows how much profit is attributable to each share.

EBIT •••

EBIT stands for earnings before interest and taxes. It measures a company's profit before deducting interest on its debt and income tax.

EBITDA •••

EBITDA stands for earnings before interest, taxes, depreciation and amortization. It measures a company's profit from operations before financing costs, taxes and non-cash charges for the wearing out of assets.

Economic Moat •••

An economic moat is a durable competitive advantage that protects a company's profits from competitors over a long period, much as a moat protects a castle.

Economics •••

Economics is the study of how people, businesses and governments make choices about using limited resources to satisfy their wants and needs.

Effective Annual Rate (EAR) •••

The effective annual rate (EAR) is the true yearly interest rate on a loan or investment once compounding within the year is taken into account.

Emergency Fund •••

An emergency fund is money set aside specifically to pay for unexpected events, such as losing a job, a medical bill or an urgent home or car repair.

Enterprise Value ●●○

Enterprise value is a measure of a company's total value, including both its equity and its debt, minus its cash. It represents roughly what it would cost to buy the whole business.

Equilibrium Price ●●○

The equilibrium price is the price at which the quantity of a good that buyers want to purchase equals the quantity sellers want to supply.

Equity ●○○

Equity is the value of ownership that remains after all debts are subtracted. For a person, it is the part of an asset, such as a home, that you own outright; for a business, it is the owners' share of the company.

Equity Security ●○○

An equity security is a financial instrument that represents ownership in a company, such as common or preferred shares.

Equity Valuation ●●○

Equity valuation is the process of estimating the value of a company's shares, meaning the part of the business that belongs to its shareholders.

Equity Value ●●○

Equity value is the value of a company that belongs to its shareholders, after all debts and other claims have been accounted for.

Equity Value Multiple ●●○

An equity value multiple is a valuation ratio that compares the value of a company's shares with a financial measure that belongs to shareholders, such as earnings, book value or cash flow per share.

European Option ●●○

A European option is an option that can be exercised only on its expiration date, not before.

EV/EBIT ●●○

EV/EBIT is a valuation multiple that divides a company's enterprise value by its EBIT, earnings before interest and taxes.

EV/EBITDA ●●○

EV/EBITDA is a valuation multiple that divides a company's enterprise value by its EBITDA, earnings before interest, taxes, depreciation and amortization.

EV/Revenue ●●○

EV/Revenue is a valuation multiple that divides a company's enterprise value by its total revenue.

Exchange ●●○

An exchange is an organised marketplace where securities, commodities or other financial instruments are bought and sold under set rules.

Exchange Rate •••

An exchange rate is the price of one currency in terms of another, showing how much of one currency is needed to buy a unit of another.

Exchange-Traded Fund (ETF) •••

An exchange-traded fund (ETF) is an investment fund that holds a basket of assets, such as shares or bonds, and whose units trade on a stock exchange like ordinary shares.

Excise Tax •••

An excise tax is a tax charged on specific goods or activities, such as fuel, alcohol, tobacco or gambling, usually as a fixed amount per unit or a percentage of the price.

Exercise •••

To exercise an option is to use the right it gives: to buy the underlying asset at the strike price for a call option, or to sell it at the strike price for a put option.

Exit Multiple Method •••

The exit multiple method calculates a company's terminal value in a discounted cash flow model by applying a valuation multiple, such as EV/EBITDA, to a financial measure in the final forecast year.

Expense Forecast •••

An expense forecast is an estimate of the costs a business expects to incur over a future period.

Expense Recognition •••

Expense recognition is the accounting principle that decides when a cost is recorded as an expense, generally in the period when it helps generate revenue or when its benefit is used up.

Expiration Date •••

The expiration date is the last date on which an option or other derivative contract can be exercised or settled. After this date, the contract ceases to exist.

Externality •••

An externality is a cost or benefit of an activity that affects people who are not directly involved in it, and that is not reflected in the price paid.

F

Fair Market Value •••

Fair market value is the price at which an asset would change hands between a willing buyer and a willing seller, when both have reasonable knowledge of the relevant facts and neither is under pressure to buy or sell.

Financial Account (Balance of Payments) ●●○

The financial account, in the balance of payments, records a country's cross-border investment flows, including foreign direct investment, purchases of shares and bonds, loans and changes in official reserves.

Financial Goal ●○○

A financial goal is a specific thing you want to achieve with money, such as building an emergency fund, buying a home, paying off debt or retiring at a certain age.

Financial Independence ●○○

Financial independence is having enough income from savings, investments or other sources to cover your living costs without needing to work for money.

Financial KPI ●○○

A financial KPI is a key performance indicator based on financial results, such as revenue growth, profit margin, cash flow or return on investment.

Financial Literacy ●○○

Financial literacy is the knowledge and skill needed to make sound decisions about money, such as budgeting, saving, borrowing, investing and understanding risk.

Financial Management ●○○

Financial management is the planning, organising and controlling of an organisation's money so that it can operate smoothly, meet its obligations and achieve its goals.

Financial Model ●●○

A financial model is a structured representation of a business or project, usually built in a spreadsheet, that uses assumptions and calculations to estimate future financial results.

Financial Plan ●○○

A financial plan is an overall strategy for managing your money to reach your financial goals. It brings together budgeting, saving, debt, investing, insurance, tax and retirement into one picture.

Financial Planning and Analysis (FP&A) ●●○

Financial planning and analysis (FP&A) is the business function responsible for budgeting, forecasting and analysing financial performance to help managers make decisions.

Financial Risk ●○○

Financial risk is the chance that a financial decision or investment will turn out worse than expected, including the possibility of losing money.

Financial Security ●○○

Financial security is having enough money, savings and protection to cover your needs, handle unexpected events and avoid serious financial hardship, both now and in the future.

Financial Statement •••

A financial statement is a formal report that summarises a business's financial activity and position. The main ones are the balance sheet, the income statement and the cash flow statement.

Financial Well-Being •••

Financial well-being is a state in which you can meet your current financial commitments, feel secure about your financial future and have the freedom to make choices that let you enjoy life.

Finished Goods •••

Finished goods are completed products that are ready to be sold to customers but have not yet been sold.

Fiscal Year •••

A fiscal year is the twelve-month period a business or government uses for its accounting and financial reporting. It may or may not match the calendar year.

Fixed-Income Security •••

A fixed-income security is an investment that pays a set amount of interest or income at regular intervals and returns the principal at maturity, such as a bond.

Fixed Rate •••

A fixed rate is an interest rate that stays the same for an agreed period, regardless of changes in market interest rates.

Forecasting •••

Forecasting is the process of estimating future financial results, such as sales, costs, profits or cash flows, based on past data, current trends and assumptions about what will happen.

Forward Contract •••

A forward contract is a private agreement between two parties to buy or sell an asset at a set price on a specific future date.

Forward P/E •••

Forward P/E is a company's current share price divided by its expected earnings per share for the next twelve months or the next financial year.

Franchise Model •••

A franchise model is a business model in which a company, the franchisor, allows independent business owners, the franchisees, to operate outlets under its brand and system in return for fees and royalties.

Free Cash Flow •••

Free cash flow is the cash a business generates from its operations after paying for the capital investments needed to maintain and grow it. It is the cash available to repay debt, pay dividends or reinvest.

Free Cash Flow to Equity (FCFE) ●●○

Free cash flow to equity (FCFE) is the cash available to a company's shareholders after operating costs, taxes, reinvestment and all payments to and from lenders.

Free Cash Flow to Firm (FCFF) ●●○

Free cash flow to the firm (FCFF) is the cash a business generates from its operations, after taxes and the investment needed to sustain and grow it, that is available to all its funders, both lenders and shareholders.

Free Float ●●○

Free float is the number of a company's shares that are available for the public to trade, excluding shares held by insiders, governments, controlling shareholders or others unlikely to sell.

Freemium Model ●○○

A freemium model is a business model in which a basic version of a product or service is offered free of charge, while customers pay for premium features, extra capacity or an advertising-free experience.

Future Value ●○○

Future value is how much an amount of money today will be worth at a later date after it earns interest or returns.

Futures Contract ●●○

A futures contract is a standardised agreement, traded on an exchange, to buy or sell a specific quantity of an asset at a set price on a future date.

G

General and Administrative Expense ●○○

General and administrative expenses are the overhead costs of running a business that are not directly tied to producing goods or selling them, such as office rent, management salaries, accounting, legal fees and insurance.

General Ledger ●○○

The general ledger is the main record of all a business's accounts, showing every transaction and the running balance for each account.

Generally Accepted Accounting Principles (GAAP) ●○○

Generally Accepted Accounting Principles (GAAP) are the standard rules and conventions that companies follow when preparing financial statements, so that reports are consistent and comparable.

Geometric Mean •••

The geometric mean is a type of average calculated by multiplying a set of values together and taking the root equal to the number of values. In finance, it gives the true average growth rate per period over time.

Going Concern •••

Going concern is the assumption that a business will continue operating for the foreseeable future, usually at least twelve months, rather than closing down or being forced to sell its assets.

Going-Concern Value •••

Going-concern value is the value of a business as an operating enterprise that is expected to continue running, including the value of its assets working together and its ability to generate future profits.

Goodwill •••

Goodwill is the amount a company pays to buy another business above the fair value of that business's identifiable net assets. It reflects things such as reputation, customer relationships, skilled staff and expected benefits from combining the businesses.

Gordon Growth Model •••

The Gordon Growth Model is a version of the dividend discount model that values a share by assuming its dividends will grow at a constant rate forever.

Government Bond •••

A government bond is a bond issued by a national government to borrow money, paying regular interest and repaying the face value at maturity.

Grace Period •••

A grace period is a set length of time after a payment is due, or after a purchase is made, during which no interest or penalty is charged.

Gross Domestic Product (GDP) •••

Gross domestic product (GDP) is the total value of all final goods and services produced within a country over a period, usually a quarter or a year. It is the most widely used measure of the size of an economy.

Gross Income •••

Gross income is total income before any taxes or deductions are taken out. For an employee, it is the full salary and other pay agreed with the employer.

Gross Margin •••

Gross margin is gross profit expressed as a percentage of revenue. It shows how much of each unit of sales is left after paying the direct costs of the goods or services sold.

Gross Merchandise Value ●●○

Gross merchandise value is the total value of goods or services sold through a marketplace or platform over a period, before deducting fees, discounts, returns or other costs.

Gross Profit ●○○

Gross profit is the money left from revenue after subtracting the direct cost of the goods or services sold.

Guarantor ●○○

A guarantor is a person or organisation that promises to repay a debt if the main borrower fails to do so.

H

Harmonic Mean ●●○

The harmonic mean is a type of average calculated by dividing the number of values by the sum of their reciprocals. It is useful for averaging rates and ratios.

Headcount Forecast ●●○

A headcount forecast is a plan of how many employees a business expects to have over a future period, by team or role, and what they will cost.

Hedging ●●○

Hedging is taking a position in one investment or contract to reduce the risk of losses in another, much like buying insurance against an unfavourable price movement.

Hurdle Rate ●●○

A hurdle rate is the minimum rate of return a company requires before it will approve an investment or project.

Hypothesis Test ●●○

A hypothesis test is a statistical method for using sample data to decide whether there is enough evidence to reject an assumption about a population, called the null hypothesis.

I

Impairment ●●○

Impairment is a reduction in the recorded value of an asset when its recoverable amount falls below the value shown on the balance sheet.

In-the-Money ●●○

An option is in the money when exercising it immediately would be profitable: for a call, when the underlying price is above the strike price; for a put, when it is below.

Income ●○○

Income is money a person or business receives over a period of time, such as a salary, business profits, interest, rent or dividends.

Income Elasticity of Demand ●●○

Income elasticity of demand measures how strongly the quantity demanded of a good responds to a change in consumers' incomes.

Income Statement ●○○

An income statement is a financial statement that shows a business's revenue, expenses and resulting profit or loss over a period, such as a quarter or a year.

Inferior Good ●●○

An inferior good is a product for which demand falls when consumers' incomes rise and increases when incomes fall.

Inflation ●○○

Inflation is the general rise in the prices of goods and services over time. As prices rise, each unit of money buys less.

Initial Public Offering (IPO) ●●○

An initial public offering (IPO) is the first time a private company sells its shares to the public, after which its shares can be traded on a stock exchange.

Inorganic Growth ●○○

Inorganic growth is growth a business achieves by buying or merging with other companies, rather than by expanding its existing operations.

Installment Loan ●○○

An instalment loan is a loan for a fixed amount that is repaid in regular, scheduled payments over a set period until the balance reaches zero.

Insurance Policy ●○○

An insurance policy is a contract in which an insurer agrees to pay for specified losses or events in exchange for regular payments, called premiums, from the policyholder.

Intangible Asset ●○○

An intangible asset is a valuable resource that has no physical form, such as a patent, trademark, copyright, software, customer list or brand.

Intellectual Property •••

Intellectual property is creations of the mind, such as inventions, designs, brand names, artistic works and confidential know-how, that the law allows owners to protect and control.

Interest •••

Interest is the cost of borrowing money, or the reward for lending or saving it. It is usually expressed as a percentage of the amount borrowed or saved.

Interest Rate •••

An interest rate is the percentage charged on borrowed money, or paid on saved money, over a period of time, usually a year.

Interest Rate Spread •••

The interest rate spread is the difference between the average interest rate a bank charges on loans and the average rate it pays on deposits and other borrowing.

Internal Rate of Return (IRR) •••

The internal rate of return (IRR) is the annual rate of return a project or investment is expected to earn, calculated as the discount rate at which its net present value equals zero.

International Financial Reporting Standards (IFRS) •••

International Financial Reporting Standards (IFRS) are a set of accounting rules used in many countries around the world so that companies' financial statements are prepared in a consistent and comparable way.

Intrinsic Value •••

Intrinsic value is the estimated true worth of an asset based on its fundamental characteristics, such as the cash it is expected to generate, rather than its current market price.

Intrinsic Value (Option) •••

The intrinsic value of an option is the amount it would be worth if it were exercised immediately. It is never less than zero.

Inventory •••

Inventory is the goods a business holds for sale, along with the materials and partly finished products used to make them.

Investing •••

Investing is putting money into assets, such as shares, bonds, funds or property, with the aim of growing wealth or earning income over time.

Investment •••

An investment is something you buy or put money into with the expectation that it will produce income or grow in value over time.

Investment Bank ●●○

An investment bank is a financial institution that helps companies and governments raise money in financial markets, advises on mergers and acquisitions, and trades securities.

Investment Objective ●○○

An investment objective is the specific goal an investor wants their money to achieve, such as long-term growth, regular income or keeping capital safe.

Investment Value ●●○

Investment value is the value of an asset to a particular investor, based on that investor's own goals, circumstances and expected benefits.

Investor ●○○

An investor is a person or organisation that puts money into assets, such as shares, bonds, property or businesses, expecting to earn a return.

J

Journal Entry ●○○

A journal entry is the record of a single business transaction, showing the date, the accounts affected, the amounts debited and credited and a short description.

K

Key Performance Indicator (KPI) ●○○

A key performance indicator (KPI) is a measurable value that shows how well a business, team or individual is achieving an important objective.

L

Late Fee ●○○

A late fee is a charge added when a payment on a loan, credit card or bill is not made by the due date or before any grace period ends.

Lender ●○○

A lender is a person or organisation that provides money to a borrower on the understanding that it will be paid back, usually with interest.

Leverage ●●○

Leverage is the use of borrowed money to increase the size of an investment or business activity, which magnifies both potential gains and potential losses.

Leverage Ratio (Banking) ●●○

The leverage ratio, in banking, compares a bank's high-quality capital with its total exposures, without adjusting for risk. It acts as a simple backstop to risk-based capital rules.

Liability ●○○

A liability is something you owe to another person or organisation, such as a loan, a mortgage, a credit card balance or an unpaid bill.

Licensing Model ●●○

A licensing model is a business model in which a company allows others to use its intellectual property, such as a patent, brand, technology, software or content, in exchange for fees or royalties.

Like-for-Like Growth ●○○

Like-for-like growth is the change in sales from a comparable set of operations, such as stores open for the whole of both periods, excluding the effect of new openings, closures or acquisitions.

Limit Order ●●○

A limit order is an instruction to buy or sell a security only at a specified price or better.

Linear Regression ●●○

Linear regression is a statistical method that models the relationship between two or more variables by fitting a straight line through the data that best predicts one variable from the other.

Liquidation Value ●●○

Liquidation value is the estimated amount that could be raised if a company's assets were sold off individually, usually quickly, and its operations shut down.

Loan ●○○

A loan is money borrowed from a lender that must be repaid over time, usually with interest, according to agreed terms.

Loan Loss Provision ●●○

A loan loss provision is an expense a bank records in a period to cover expected losses on loans that may not be repaid.

Loan Loss Reserve ●●○

A loan loss reserve is the total amount a bank has set aside on its balance sheet to cover expected losses on its loans. It reduces the reported value of loans to the amount the bank expects to collect.

Loan Origination ●●○

Loan origination is the process by which a lender creates a new loan, from receiving the application through checking the borrower, approving the loan, preparing documents and paying out the money.

Loan Term •••

The loan term is the length of time over which a loan must be repaid, such as three years for a car loan or 25 years for a mortgage.

Loan-to-Deposit Ratio •••

The loan-to-deposit ratio compares a bank's total loans with its total deposits. It shows how much of the money deposited with the bank has been lent out.

M

Macroeconomics •••

Macroeconomics is the branch of economics that studies the economy as a whole, including total output, growth, inflation, unemployment, interest rates and international trade.

Management Reporting •••

Management reporting is the regular preparation of financial and operational reports for a company's managers, designed to help them monitor performance and make decisions.

Margin Call •••

A margin call is a demand from a broker for an investor to add money or securities to a margin account after losses have pushed the account's equity below the required minimum.

Margin Trading •••

Margin trading is buying securities partly with money borrowed from a broker, using the securities themselves as collateral for the loan.

Marginal Benefit •••

Marginal benefit is the additional benefit a person or business gains from consuming or producing one more unit of something.

Marginal Utility •••

Marginal utility is the additional satisfaction a person gets from consuming one more unit of a good or service.

Market Capitalization •••

Market capitalization is the total market value of a company's shares, calculated by multiplying the current share price by the number of shares outstanding.

Market Equilibrium •••

Market equilibrium is the state of a market in which the quantity demanded equals the quantity supplied, so there is no pressure for the price to change.

Market Failure ●●○

Market failure is a situation in which a free market, left to itself, does not produce the best outcome for society, resulting in too much or too little of a good being produced.

Market Index ●○○

A market index is a measure that tracks the performance of a group of investments, such as the largest companies on a stock exchange, to represent how a market or part of a market is doing.

Market Maker ●●○

A market maker is a firm that continuously quotes prices at which it will buy and sell a particular security, ensuring that investors can trade at any time.

Market Order ●●○

A market order is an instruction to buy or sell a security immediately at the best price currently available.

Market Value ●●○

Market value is the current price at which an asset can be bought or sold in the market.

Marketplace Model ●●○

A marketplace model is a business model in which a company provides a platform that connects buyers and sellers and earns money from the transactions between them, usually through fees or commissions.

Matching Principle ●○○

The matching principle is the accounting rule that expenses should be recorded in the same period as the revenue they helped to generate.

Materiality ●○○

Materiality is the accounting principle that information should be reported accurately and separately if leaving it out or getting it wrong could influence the decisions of people using the financial statements.

Maturity Date ●○○

The maturity date is the date on which a bond, loan or other financial contract ends and the final payment is due, such as the repayment of a bond's face value.

Median ●○○

The median is the middle value in a set of numbers arranged in order. Half the values are above it and half are below.

Microeconomics ●○○

Microeconomics is the branch of economics that studies the decisions of individual households, workers and businesses, and how they interact in particular markets.

Mid-Year Convention

The mid-year convention is an assumption in discounted cash flow analysis that cash flows arrive, on average, in the middle of each year rather than at the end.

Minimum Payment

A minimum payment is the smallest amount a borrower must pay on a debt, usually a credit card, by the due date to keep the account in good standing and avoid a late fee.

Minimum Wage

A minimum wage is the lowest hourly, daily or monthly pay that employers are legally required to pay workers.

Mode

The mode is the value that appears most often in a set of data.

Monetary Policy

Monetary policy is the set of actions a central bank takes to influence interest rates, the supply of money and credit conditions, in order to achieve goals such as stable prices and steady economic growth.

Money

Money is anything people widely accept as payment for goods, services and debts. It lets people trade easily, compare the value of different things and save purchasing power for later.

Moneyness

Moneyness describes the relationship between an option's strike price and the current price of the underlying asset, indicating whether the option would be profitable to exercise now.

Multiple Regression

Multiple regression is a statistical method that models how a dependent variable is related to two or more independent variables at the same time.

Multiples Valuation

Multiples valuation is a method of valuing a company by applying a ratio, such as price-to-earnings or EV/EBITDA, taken from similar companies or transactions to the company's own financial figures.

Municipal Bond

A municipal bond is a bond issued by a local or regional government, such as a city, county or state, to fund public projects like schools, roads and water systems.

Mutual Fund

A mutual fund is an investment fund that pools money from many investors and invests it in a diversified portfolio of shares, bonds or other assets, managed by professionals.

N

Negative Externality •••

A negative externality is a cost that an activity imposes on people who are not directly involved in it and who are not compensated for it.

Neobank •••

A neobank is a bank or banking service that operates entirely online, through a mobile app and website, without physical branches.

Net Income (Accounting) •••

Net income, in accounting, is a company's total profit for a period after all expenses, interest and taxes have been deducted from revenue. It is often called the bottom line.

Net Income (Personal) •••

Net income, for a person, is the money left from your earnings after income tax and other deductions have been taken out. It is often called take-home pay.

Net Interest Income •••

Net interest income is the difference between the interest a bank earns on its loans and investments and the interest it pays on its deposits and borrowing.

Net Interest Margin (NIM) •••

Net interest margin (NIM) is a measure of a bank's profitability from lending, calculated as net interest income divided by the average assets that earn interest, such as loans and investments.

Net Present Value (NPV) •••

Net present value (NPV) is the value today of all the cash a project or investment is expected to produce, minus what it costs. A positive NPV means the project is expected to earn more than the required return.

Net Promoter Score (NPS) •••

Net Promoter Score (NPS) is a measure of customer loyalty based on how likely customers are to recommend a company, product or service to others, on a scale from 0 to 10.

Net Worth •••

Net worth is the value of everything you own minus everything you owe. It is the most common measure of a person's or household's financial position at a point in time.

Network Effect •••

A network effect occurs when a product or service becomes more valuable to each user as more people use it.

Nominal Interest Rate •••

The nominal interest rate is the stated interest rate on a loan or investment, before adjusting for inflation or for the effect of compounding.

Nominal Value •••

Nominal value is an amount expressed in money terms as it appears at the time, without adjusting for inflation. It is the face amount you see on a price tag, payslip or statement.

Non-Current Asset •••

A non-current asset is an asset a business expects to hold and use for more than one year, such as land, buildings, equipment, long-term investments and intangible assets.

Non-Current Liability •••

A non-current liability is an obligation that a business does not need to settle within the next year, such as a long-term loan, bonds or a pension obligation.

Nonperforming Loan (NPL) •••

A nonperforming loan (NPL) is a loan on which the borrower has stopped making scheduled payments for a set period, usually 90 days or more, or is unlikely to repay in full.

Normal Distribution •••

A normal distribution is a symmetrical, bell-shaped pattern in which most values cluster around the mean and values become less common the further they are from it.

Normal Good •••

A normal good is a product for which demand increases when consumers' incomes rise and decreases when incomes fall.

Notes to Financial Statements •••

Notes to financial statements are the detailed explanations and additional information that accompany the main financial statements and help readers understand the figures.

O

Operating Cash Flow •••

Operating cash flow is the cash a business generates from its normal day-to-day activities, such as selling goods and paying suppliers, staff and taxes.

Operating Expense •••

An operating expense is a cost a business incurs in running its day-to-day operations that is not directly tied to producing its goods, such as rent, salaries, marketing, utilities and administration.

Operating Income

Operating income is the profit a business makes from its core operations, calculated as revenue minus cost of goods sold and operating expenses, before interest and taxes.

Operating KPI

An operating KPI is a key performance indicator that measures how well a business's day-to-day activities are working, such as production output, delivery times, customer numbers or staff productivity.

Opportunity Cost

Opportunity cost is the value of the best alternative you give up when you make a choice. Every decision to use time or money one way means not using it another way.

Option

An option is a contract that gives its buyer the right, but not the obligation, to buy or sell an asset at a set price on or before a specific date.

Option Premium

The option premium is the price the buyer of an option pays to the seller for the rights the option provides.

Organic Growth

Organic growth is growth a business achieves from its existing operations, through selling more, raising prices or launching new products, rather than by buying other businesses.

Out-of-the-Money

An option is out of the money when exercising it immediately would not be profitable: for a call, when the underlying price is below the strike price; for a put, when it is above.

Outlier

An outlier is a data point that is very different from most of the other values in a data set.

Over-the-Counter Market

An over-the-counter (OTC) market is a decentralised market where securities and other instruments are traded directly between two parties, rather than on an organised exchange.

Overdraft

An overdraft happens when you spend or withdraw more money than you have in your bank account, so the balance goes below zero.

Overdraft Protection

Overdraft protection is a bank service that covers a payment when your account does not have enough money, instead of rejecting it, usually in return for a fee or interest.

P

P-Value ●●○

A p-value is the probability of seeing results at least as extreme as those observed, assuming that there is actually no real effect or difference, the null hypothesis.

Passive Income ●○○

Passive income is money that keeps coming in with little ongoing effort once the initial work or investment has been made, such as rent, dividends, interest or royalties.

Patent ●○○

A patent is a legal right granted by a government that gives an inventor the exclusive right to make, use and sell an invention for a limited period, usually up to 20 years from filing.

Payback Period ●○○

The payback period is the length of time it takes for an investment to earn back its initial cost from the cash it generates.

PEG Ratio ●●○

The PEG ratio is a company's price-to-earnings ratio divided by its expected annual earnings growth rate. It adjusts the P/E ratio for growth.

Perpetual Growth Method ●●○

The perpetual growth method calculates a company's terminal value in a discounted cash flow model by assuming its cash flows will grow at a constant rate forever after the forecast period.

Perpetuity ●●○

A perpetuity is a stream of equal payments that continues forever. Its value today can be found by dividing the regular payment by the discount rate.

Personal Loan ●○○

A personal loan is a fixed amount of money borrowed from a bank or lender for personal use, repaid in regular instalments over a set period with interest.

Platform Business ●●○

A platform business is a company that creates value by enabling interactions between different groups of users, such as buyers and sellers, drivers and riders or app developers and phone users, rather than mainly by making products itself.

Population ●○○

A population, in statistics, is the entire group of people, items or events that a study is interested in understanding.

Portfolio •••

A portfolio is the complete collection of investments held by a person or organisation, such as shares, bonds, funds, property and cash.

Portfolio Manager •••

A portfolio manager is a professional who makes investment decisions for a fund, institution or client, choosing which assets to buy, hold and sell to meet stated objectives.

Positive Externality •••

A positive externality is a benefit that an activity provides to people who are not directly involved in it and who do not pay for it.

Precedent Transaction Analysis •••

Precedent transaction analysis is a valuation method that estimates a company's value by looking at the prices paid in past acquisitions of similar companies.

Preferred Stock •••

Preferred stock is a type of share that usually pays a fixed dividend and has priority over common stock for dividends and for repayment if the company is wound up, but typically carries no voting rights.

Prepaid Expense •••

A prepaid expense is a payment made in advance for goods or services that will be received or used in future periods. It is recorded as an asset until it is used up.

Present Value •••

Present value is what a future amount of money is worth today, after allowing for the return that money could earn in the meantime.

Price Ceiling •••

A price ceiling is a legal maximum price set by a government that sellers are not allowed to exceed.

Price Elasticity of Demand •••

Price elasticity of demand measures how strongly the quantity of a good that people buy responds to a change in its price.

Price Elasticity of Supply •••

Price elasticity of supply measures how strongly the quantity producers supply responds to a change in the price of a good.

Price Floor •••

A price floor is a legal minimum price set by a government, below which a good or service cannot be sold.

Price-to-Book Ratio (P/B) ●●○

The price-to-book ratio (P/B) compares a company's share price with its book value per share, which is the value of its net assets as shown in its accounts.

Price-to-Cash-Flow Ratio ●●○

The price-to-cash-flow ratio compares a company's share price with its operating cash flow per share, showing how much investors are paying for each unit of cash the business generates.

Price-to-Earnings Ratio (P/E) ●●○

The price-to-earnings ratio (P/E) is a company's share price divided by its earnings per share. It shows how much investors are paying for each unit of the company's profit.

Price-to-Free-Cash-Flow Ratio ●●○

The price-to-free-cash-flow ratio compares a company's market capitalization with its free cash flow, showing how much investors are paying for each unit of cash available after the business has funded its operations and capital investment.

Price-to-Sales Ratio (P/S) ●●○

The price-to-sales ratio (P/S) compares a company's market capitalization with its total revenue, showing how much investors are paying for each unit of sales.

Primary Market ●●○

The primary market is where new securities are created and sold for the first time, with the money going to the issuing company or government.

Principal ●○○

Principal is the original amount of money borrowed or invested, before any interest is added.

Private Banking ●●○

Private banking is a set of personalised banking, investment and financial planning services offered to wealthy individuals and families.

Private Company ●●○

A private company is a company whose shares are not traded publicly and are usually owned by a small group, such as founders, families, employees or private investors.

Private Good ●●○

A private good is a product or service that is excludable, meaning people who do not pay can be prevented from using it, and rivalrous, meaning one person's use reduces its availability to others.

Producer Surplus ●●○

Producer surplus is the difference between the price a seller receives for a good and the minimum price at which they would have been willing to sell it. It measures the extra benefit producers gain from selling.

Profitability Index ••◦

The profitability index compares the present value of a project's future cash flows with its initial cost. A value above 1 means the project is expected to create value.

Property, Plant and Equipment (PP&E) •◦◦

Property, plant and equipment (PP&E) are the physical, long-term assets a business uses to produce goods or services, such as land, buildings, machinery, vehicles and computers.

Protective Put ••◦

A protective put is an options strategy in which an investor who owns shares buys a put option on those shares to limit potential losses if the price falls.

Public Company ••◦

A public company is a company whose shares can be bought and sold by members of the public, usually on a stock exchange.

Public Good ••◦

A public good is a product or service that is non-excludable, meaning people cannot easily be prevented from using it, and non-rivalrous, meaning one person's use does not reduce its availability to others.

Purchasing Power •◦◦

Purchasing power is the amount of goods and services that a sum of money can buy. When prices rise, the same amount of money buys less, so its purchasing power falls.

Put Option ••◦

A put option is a contract that gives its buyer the right, but not the obligation, to sell an asset at a set price, the strike price, on or before a specific date.

Q

Quarter-over-Quarter Growth •◦◦

Quarter-over-quarter growth compares a figure for one three-month period with the immediately preceding three-month period, expressed as a percentage change.

Quota ••◦

A quota, in trade, is a government limit on the quantity or value of a particular good that can be imported or exported during a set period.

R

Range •○○

The range is the difference between the highest and lowest values in a set of data. It is the simplest measure of how spread out the data are.

Rate of Return •○○

The rate of return is the gain or loss on an investment expressed as a percentage of the amount originally invested, usually over a year.

Raw Materials •○○

Raw materials are the basic inputs a manufacturer buys to turn into finished products, such as wood for furniture, steel for cars or flour for bread.

Real Interest Rate •○○

The real interest rate is the interest rate after adjusting for inflation. It shows how much your purchasing power actually grows when you save, or how much borrowing really costs.

Real Value •○○

Real value is the value of money or an amount after adjusting for inflation. It shows what the money can actually buy, so amounts from different years can be compared fairly.

Rebalancing •○○

Rebalancing is the process of buying and selling investments to bring a portfolio back to its target asset allocation after market movements have changed it.

Recession •○○

A recession is a significant, widespread and lasting decline in economic activity, typically seen in falling output, income, employment and spending.

Refinancing •○○

Refinancing is replacing an existing loan with a new one, usually to get a lower interest rate, change the repayment period or release cash.

Regression Analysis ••○

Regression analysis is a set of statistical methods for estimating how one variable, the dependent variable, is related to one or more other variables, the independent variables.

Rent Control ••○

Rent control is a government rule that limits how much landlords can charge for renting a home, or how much they can increase rent each year.

Reporting Period •••

A reporting period is the span of time covered by a set of financial statements, such as a month, a quarter or a year.

Required Rate of Return •••

The required rate of return is the minimum annual return an investor expects to earn from an investment, given its level of risk, before they are willing to invest.

Research and Development Expense •••

Research and development expense is the cost of creating new products, improving existing ones or developing new processes and technologies.

Reserve Ratio •••

The reserve ratio is the proportion of a bank's deposits that it holds as reserves, either as cash in its vaults or as deposits at the central bank, rather than lending out.

Retail Bank •••

A retail bank is a bank that provides financial services directly to individual consumers, such as current and savings accounts, debit and credit cards, mortgages and personal loans.

Retained Earnings •••

Retained earnings are the total profits a company has kept in the business over its life, rather than paying out to shareholders as dividends.

Return •••

Return is the gain or loss made on an investment over a period of time. It includes both any income received and any change in the investment's value.

Return on Investment (ROI) •••

Return on investment (ROI) is a measure of how much profit an investment produces compared with its cost, expressed as a percentage.

Revenue Forecast •••

A revenue forecast is an estimate of how much income a business expects to earn from sales over a future period.

Revenue Growth •••

Revenue growth is the percentage increase or decrease in a business's revenue from one period to another.

Revenue Model •••

A revenue model is the specific way a business earns money from its customers, such as by selling products, charging subscriptions, taking commissions or selling advertising.

Revenue Recognition •••

Revenue recognition is the accounting principle that decides when and how much revenue a business records, generally when it has delivered the promised goods or services to the customer.

Reversing Entry •••

A reversing entry is an optional journal entry made at the start of a new period that cancels out certain adjusting entries from the end of the previous period, to make recording simpler.

Risk-Weighted Assets •••

Risk-weighted assets are a bank's assets adjusted for their level of risk, so that riskier assets count for more and safer assets count for less. They are used to set how much capital a bank must hold.

S

Sample •••

A sample is a smaller group selected from a larger population, used to draw conclusions about the whole population without examining every member.

Sampling Bias •••

Sampling bias occurs when the method used to choose a sample makes some members of the population more likely to be included than others, so the sample does not accurately represent the population.

Saving Rate •••

The saving rate is the percentage of income that is saved rather than spent over a period, such as a month or a year.

Savings •••

Savings is the part of income that is not spent on current consumption and is instead kept for future use, either as cash or in accounts and investments.

Savings Account •••

A savings account is a bank account designed for keeping money you do not need for everyday spending, which pays interest on the balance.

Savings Bank •••

A savings bank is a financial institution whose main purpose is to accept savings deposits and pay interest on them, often lending mainly for home purchases.

Scarcity •••

Scarcity is the basic economic problem that resources are limited while human wants are virtually unlimited, so people and societies must make choices.

Scenario Analysis ●●○

Scenario analysis is a planning method that estimates how financial results would change under several different possible futures, such as a base case, an optimistic case and a pessimistic case.

Secondary Market ●●○

The secondary market is where investors buy and sell securities that have already been issued, trading with each other rather than with the original issuer.

Secondary Offering ●●○

A secondary offering is a sale of shares by a company that is already publicly listed, or by its existing major shareholders, after its initial public offering.

Secured Debt ●○○

Secured debt is borrowing backed by an asset, called collateral, that the lender can take and sell if the borrower fails to repay.

Selection Bias ●●○

Selection bias occurs when the individuals, groups or data included in an analysis are chosen in a way that is not random, so the results do not fairly represent the population or the effect being studied.

Selling Expense ●○○

A selling expense is a cost incurred to market and sell a business's products or services, such as advertising, sales staff pay, commissions and delivery to customers.

Sensitivity Analysis ●●○

Sensitivity analysis tests how much a financial result, such as profit or project value, changes when one assumption is changed while all others are held constant.

Share ●○○

A share is a single unit of ownership in a company. Owning shares makes you a part-owner, entitled to a portion of the company's profits and, usually, a vote on certain decisions.

Share Capital ●○○

Share capital is the money a company has raised by issuing shares to its owners. It forms part of shareholders' equity on the balance sheet.

Shares Outstanding ●●○

Shares outstanding is the total number of a company's shares currently held by all its shareholders, including insiders and institutions, but excluding shares the company has bought back and holds itself.

Short Selling ●●○

Short selling is selling a security you do not own, by borrowing it, in the hope of buying it back later at a lower price and keeping the difference as profit.

Simple Interest

Simple interest is interest calculated only on the original amount borrowed or saved, not on any interest already earned or charged.

Standard Deviation

Standard deviation is a measure of how much a set of values typically differs from the mean. It is the square root of the variance.

Standard of Living

Standard of living is the level of wealth, comfort, goods and services available to a person, household or country. It reflects how well people are able to live, not just how much they earn.

Statement of Changes in Equity

The statement of changes in equity shows how the owners' equity in a business changed during a period, including profits, dividends, new shares issued and other movements.

Statement of Comprehensive Income

The statement of comprehensive income shows a company's net income for a period together with other gains and losses that are not included in net income, giving a fuller picture of how equity changed.

Statistical Significance

Statistical significance describes a result that is unlikely to have occurred by chance alone if there were no real effect, usually judged by whether its p-value falls below a chosen threshold, such as 0.05.

Stock

A stock is a type of investment that represents ownership in a company. Owning stock gives you a claim on part of the company's assets and profits.

Stop-Limit Order

A stop-limit order combines a stop order and a limit order. When the stop price is reached, it becomes a limit order that will be filled only at the limit price or better.

Stop Order

A stop order is an instruction to buy or sell a security once its price reaches a specified level, called the stop price. When the stop price is reached, the order becomes a market order.

Straddle

A straddle is an options strategy that involves buying both a call and a put on the same asset, with the same strike price and expiry date, to profit from a large price move in either direction.

Strangle

A strangle is an options strategy that involves buying an out-of-the-money call and an out-of-the-money put on the same asset with the same expiry date, to profit from a large price move in either direction.

Strategic Asset Allocation

Strategic asset allocation is a long-term plan that sets target percentages for each type of asset in a portfolio, based on an investor's goals, time horizon and risk tolerance.

Stress Testing

Stress testing examines how a business, bank or investment portfolio would cope under extreme but plausible adverse conditions, such as a severe recession, a market crash or a sudden rise in interest rates.

Strike Price

The strike price is the fixed price at which the holder of an option can buy the underlying asset, for a call, or sell it, for a put.

Stub Period

A stub period is a period shorter than a full year, typically at the start of a valuation or forecast, that bridges the gap between the valuation date and the start of the next full financial year.

Subscription Model

A subscription model is a business model in which customers pay a recurring fee, such as monthly or yearly, for continued access to a product or service.

Subsidy

A subsidy is a payment or financial support provided by a government to individuals or businesses to lower the cost of producing or buying certain goods or services.

Substitute Good

A substitute good is a product that can be used in place of another to satisfy the same need, such as tea instead of coffee or a bus instead of a train.

Supply

Supply is the quantity of a good or service that producers are willing and able to sell at different prices over a period of time.

Supply Curve

A supply curve is a graph showing the relationship between the price of a good and the quantity producers are willing to supply at each price, with all other factors held constant.

Survivorship Bias

Survivorship bias is the error of focusing only on people, companies or investments that have survived or succeeded, while overlooking those that failed or disappeared, which leads to overly optimistic conclusions.

Switching Cost

A switching cost is the cost, effort or inconvenience a customer faces when changing from one product, service or supplier to another.

Systematic Risk ●●○

Systematic risk is the risk that affects the whole market or economy, such as a recession, rising interest rates or a financial crisis. It cannot be removed by diversifying.

T

T-Account ●○○

A T-account is a simple visual way of showing a single account, drawn in the shape of a letter T, with debits recorded on the left and credits on the right.

Tactical Asset Allocation ●●○

Tactical asset allocation is a short- to medium-term strategy of temporarily shifting a portfolio away from its long-term targets to take advantage of expected market opportunities.

Tariff ●○○

A tariff is a tax on goods imported from other countries, usually charged as a percentage of the goods' value or as a fixed amount per unit.

Tax Incidence ●●○

Tax incidence describes who actually bears the burden of a tax, buyers or sellers, regardless of who legally pays it to the government.

Terminal Growth Rate ●●○

The terminal growth rate is the constant annual rate at which a company's cash flows are assumed to grow forever after the end of the detailed forecast period in a discounted cash flow valuation.

Terminal Value ●●○

Terminal value is the estimated value of a business or project beyond the period for which detailed cash flow forecasts are made. It captures the value of all cash flows from that point onwards.

Three-Statement Model ●●○

A three-statement model is a financial model that forecasts a company's income statement, balance sheet and cash flow statement together, with all three linked so that a change in one flows through to the others.

Tier 1 Capital ●●○

Tier 1 capital is a bank's highest-quality capital, consisting mainly of shareholders' equity and retained earnings, which can absorb losses while the bank continues operating.

Tier 2 Capital ●●○

Tier 2 capital is a bank's supplementary capital, made up of instruments such as certain long-term subordinated debt and some loan loss reserves, which absorb losses mainly if the bank fails.

Time Deposit •••

A time deposit is money placed in a bank for a fixed period, such as six months or five years, in exchange for a set interest rate. Withdrawing it early usually involves a penalty or is not allowed.

Time Value of Money •••

The time value of money is the idea that money available today is worth more than the same amount received in the future, because money today can be invested to earn a return.

Time Value (Option) •••

The time value of an option is the part of its price above its intrinsic value. It reflects the possibility that the option will become more valuable before it expires.

Trade Balance •••

The trade balance is the difference between the value of a country's exports and the value of its imports of goods and services over a period.

Trade-Off •••

A trade-off is a situation where gaining more of one thing means accepting less of another. It is the balancing act involved in almost every financial decision.

Trade Secret •••

A trade secret is confidential business information that gives a company a competitive advantage because it is not publicly known, such as a recipe, manufacturing process, customer list or algorithm.

Trademark •••

A trademark is a legally protected sign, such as a name, logo, slogan, sound or design, that identifies the goods or services of a particular business and distinguishes them from those of others.

Trailing P/E •••

Trailing P/E is a company's current share price divided by its earnings per share over the past twelve months.

Treasury Bill •••

A Treasury bill is a short-term debt security issued by the US government, maturing in one year or less. It is sold at a discount and repaid at its full face value.

Treasury Bond •••

A Treasury bond is a long-term debt security issued by the US government, with a maturity of more than ten years, typically twenty or thirty years, that pays interest every six months.

Treasury Note •••

A Treasury note is a medium-term debt security issued by the US government, with a maturity of between two and ten years, that pays interest every six months.

Trial Balance •••

A trial balance is a list of all accounts in the general ledger with their debit or credit balances at a point in time, used to check that total debits equal total credits.

U

Underlying Asset •••

The underlying asset is the financial asset or reference on which a derivative contract is based, and whose price determines the derivative's value.

Underwriting •••

Underwriting is the process by which a lender, insurer or investment bank assesses risk and decides whether to take it on, and on what terms.

Unearned Revenue •••

Unearned revenue is money a business has received from customers for goods or services it has not yet delivered. It is recorded as a liability until the work is done.

Universal Bank •••

A universal bank is a bank that offers a wide range of financial services under one roof, including retail banking, commercial banking, investment banking and often insurance and asset management.

Unsecured Debt •••

Unsecured debt is borrowing that is not backed by any asset. The lender relies only on the borrower's promise and creditworthiness to be repaid.

Utility •••

Utility is the satisfaction, happiness or benefit a person gets from consuming a good or service.

V

Valuation •••

Valuation is the process of estimating what an asset, business or investment is worth.

Variable Rate •••

A variable rate is an interest rate that can change over time, usually because it is linked to a benchmark rate set by the market or the central bank.

Variance (Statistics) •••

Variance, in statistics, is a measure of how spread out a set of values is, calculated as the average of the squared differences between each value and the mean.

Volatility •••

Volatility is how much and how quickly the price of an investment moves up and down over time. Higher volatility means larger and more frequent price swings.

W

Wealth •••

Wealth is the total value of everything a person, household or country owns, such as money, investments, property and businesses, usually after subtracting what is owed.

Weighted Average •••

A weighted average is an average in which some values count more than others, according to assigned weights that reflect their importance or size.

Weighted Average Cost of Capital (WACC) •••

The weighted average cost of capital (WACC) is the average rate of return a company must pay to all its funders, lenders and shareholders, weighted by how much of each type of funding it uses.

What-If Analysis •••

What-if analysis is the practice of changing assumptions in a financial model to see how results would change, answering questions such as "what if sales fall by 15%?"

Wholesale Banking •••

Wholesale banking is the provision of banking services to large institutions, such as major corporations, governments, other banks and financial firms, rather than to individuals or small businesses.

Work in Progress •••

Work in progress is the value of goods that are partly made but not yet finished at a particular date. It includes the raw materials used so far, plus labour and production costs added to them.

Working Capital •••

Working capital is the difference between a business's current assets and its current liabilities. It measures the short-term resources available to run the business after covering short-term obligations.

Working Capital Forecast •••

A working capital forecast is an estimate of how much cash a business will have tied up in inventory and customer receivables, offset by amounts owed to suppliers, over a future period.

Worst-Case Scenario •••

The worst-case scenario is a forecast based on pessimistic but still plausible assumptions, showing how bad results could be if things go wrong.

Write-Off

A write-off is the removal of an asset's value from the accounts, wholly or partly, because it no longer has the value previously recorded, such as a debt that will never be paid or stock that cannot be sold.

Y

Year-over-Year Growth

Year-over-year growth compares a figure for one period with the same period a year earlier, expressed as a percentage change.

Yield Curve

The yield curve is a line on a graph that shows the yields of bonds with the same credit quality but different maturities, from short-term to long-term, usually for government bonds.

Yield to Call

Yield to call is the annual return an investor would earn on a callable bond if the issuer repays it early, on the first date it is allowed to, rather than at maturity.

Yield to Maturity (YTM)

Yield to maturity (YTM) is the total annual return an investor can expect from a bond if it is bought at today's price, held until it matures and all payments are made as promised.

Z

Zero-Coupon Bond

A zero-coupon bond is a bond that pays no regular interest. Instead, it is sold at a discount to its face value and repaid at full face value at maturity.

Browse by subject

Every term in this reference, grouped by subject. Tap a name to jump to its definition.

Foundations & Personal Finance 89 terms

Amortization · Annual Percentage Rate (APR) · Annual Percentage Yield (APY) · Annuity · Asset · Bankruptcy · Borrower · Budget · Cash · Cash Balance · Cash Budget · Cash Reserve · Collateral · Compound Interest · Compounding Frequency · Cosigner · Cost of Living · Credit · Credit History · Credit Limit · Credit Report · Credit Score · Credit Utilization · Currency · Debt · Debt Avalanche · Debt Balance · Debt Snowball · Debt-to-Income Ratio · Default · Delinquency · Discretionary Income · Disposable Income · Earned Income · Effective Annual Rate (EAR) · Emergency Fund · Equity · Financial Goal · Financial Independence · Financial Literacy · Financial Plan · Financial Risk · Financial Security · Financial Well-Being · Fixed Rate · Future Value · Grace Period · Gross Income · Guarantor · Income · Inflation · Installment Loan · Interest · Interest Rate · Investment · Investor · Late Fee · Lender · Liability · Loan · Loan Term · Minimum Payment · Money · Net Income (Personal) · Net Worth · Nominal Interest Rate · Nominal Value · Opportunity Cost · Overdraft · Overdraft Protection · Passive Income · Present Value · Principal · Purchasing Power · Rate of Return · Real Interest Rate · Real Value · Refinancing · Return · Saving Rate · Savings · Secured Debt · Simple Interest · Standard of Living · Time Value of Money · Trade-Off · Unsecured Debt · Variable Rate · Wealth

Accounting & Financial Statements 73 terms

Accounting · Accounting Equation · Accounts Payable · Accounts Receivable · Accrual Accounting · Accrued Expense · Accrued Revenue · Accumulated Depreciation · Adjusting Entry · Allowance for Doubtful Accounts · Amortization Expense · Bad Debt · Balance Sheet · Bookkeeping · Calendar Year · Capital Expenditure · Cash-Basis Accounting · Cash Flow Statement · Chart of Accounts · Closing Entry · Consistency Principle · Cost of Goods Sold · Current Asset · Current Liability · Debit · Depreciation · Double-Entry Bookkeeping · Earnings Per Share (EPS) · EBIT · EBITDA · Expense Recognition · Financial Statement · Finished Goods · Fiscal Year · General and Administrative Expense · General Ledger · Generally Accepted Accounting Principles (GAAP) · Going Concern · Goodwill · Gross Margin · Gross Profit · Impairment · Income Statement · Intangible Asset · International Financial Reporting Standards (IFRS) · Inventory · Journal Entry · Matching Principle · Materiality · Net Income (Accounting) · Non-Current Asset · Non-Current Liability · Notes to Financial Statements · Operating Expense · Operating Income · Prepaid Expense · Property, Plant and Equipment (PP&E) · Raw Materials · Reporting Period · Research and Development Expense · Retained Earnings · Revenue Recognition · Reversing Entry · Selling Expense · Share Capital · Statement of Changes in Equity · Statement of Comprehensive Income · T-Account · Trial Balance · Unearned Revenue · Work in Progress · Working Capital · Write-Off

Corporate Finance & Financial Analysis 56 terms

After-Tax Cost of Debt · Base Case · Best-Case Scenario · Break-Even Analysis · Budget Variance · Capital Allocation · Capital Asset Pricing Model (CAPM) · Capital Budgeting · Capital Structure · Cash Flow Forecast · Cash Flow from Financing · Cash Flow from Investing · Compound Annual Growth Rate (CAGR) · Corporate Finance · Cost of Capital · Cost of Debt · Cost of Equity · Discount Rate · Discounted Payback Period · Earnings Growth · Expense Forecast · Financial KPI · Financial Management · Financial Model · Financial Planning and Analysis (FP&A) · Forecasting · Free Cash Flow · Free Cash Flow to Equity (FCFE) · Free Cash Flow to Firm (FCFF) · Headcount Forecast · Hurdle Rate · Inorganic Growth · Internal Rate of Return (IRR) · Key Performance Indicator (KPI) · Like-for-Like Growth · Management Reporting · Net Present Value (NPV) · Operating Cash Flow · Operating KPI · Organic Growth · Payback Period · Profitability Index · Quarter-over-Quarter Growth · Return on Investment (ROI) · Revenue Forecast · Revenue Growth · Scenario Analysis · Sensitivity Analysis · Stress Testing · Terminal Value · Three-Statement Model · Weighted Average Cost of Capital (WACC) · What-If Analysis · Working Capital Forecast · Worst-Case Scenario · Year-over-Year Growth

Investing & Capital Markets 69 terms

Ask Price · Asset Allocation · Benchmark · Beta · Bid-Ask Spread · Bid Price · Bond · Bond Duration · Bond Price · Broker · Brokerage · Capital Gain · Common Stock · Convexity · Corporate Bond · Coupon · Coupon Rate · Credit Spread · Current Yield · Dealer · Diversification · Dividend · Equity Security · Exchange · Exchange-Traded Fund (ETF) · Fixed-Income Security · Free Float · Government Bond · Initial Public Offering (IPO) · Investing · Investment Objective · Leverage · Limit Order · Margin Call · Margin Trading · Market Capitalization · Market Index · Market Maker · Market Order · Maturity Date · Municipal Bond · Mutual Fund · Over-the-Counter Market · Portfolio · Portfolio Manager · Preferred Stock · Primary Market · Private Company · Public Company · Rebalancing · Secondary Market · Secondary Offering · Share · Shares Outstanding · Short Selling · Stock · Stop-Limit Order · Stop Order · Strategic Asset Allocation · Systematic Risk · Tactical Asset Allocation · Treasury Bill · Treasury Bond · Treasury Note · Volatility · Yield Curve · Yield to Call · Yield to Maturity (YTM) · Zero-Coupon Bond

Economics & Monetary Policy 51 terms

Capital Account (Balance of Payments) · Central Bank · Common Resource · Complementary Good · Consumer Price Index (CPI) · Consumer Surplus · Cross-Price Elasticity · Current Account (Balance of Payments) · Deadweight Loss · Demand · Demand Curve · Diminishing Marginal Utility · Economics · Equilibrium Price · Exchange Rate · Excise Tax · Externality · Financial Account (Balance of Payments) · Gross Domestic Product (GDP) · Income Elasticity of Demand · Inferior Good · Macroeconomics · Marginal Benefit · Marginal Utility · Market Equilibrium · Market Failure · Microeconomics · Minimum Wage · Monetary Policy · Negative Externality · Normal Good · Positive Externality · Price Ceiling · Price Elasticity of Demand · Price Elasticity of Supply · Price Floor · Private Good · Producer Surplus · Public Good · Quota · Recession · Rent Control · Scarcity · Subsidy · Substitute Good · Supply · Supply Curve · Tariff · Tax Incidence · Trade Balance · Utility

Banking, Credit & Payments 42 terms

Bank · Bank Capital · Bank Run · Bank Transfer · Capital Adequacy Ratio · Certificate of Deposit (CD) · Checking Account · Commercial Bank · Correspondent Bank · Credit Card · Credit Underwriting · Credit Union · Demand Deposit · Deposit · Deposit Beta · Deposit Flight · Deposit Insurance · Digital Wallet · Interest Rate Spread · Investment Bank · Leverage Ratio (Banking) · Loan Loss Provision · Loan Loss Reserve · Loan Origination · Loan-to-Deposit Ratio · Neobank · Net Interest Income · Net Interest Margin (NIM) · Nonperforming Loan (NPL) · Personal Loan · Private Banking · Reserve Ratio · Retail Bank · Risk-Weighted Assets · Savings Account · Savings Bank · Tier 1 Capital · Tier 2 Capital · Time Deposit · Underwriting · Universal Bank · Wholesale Banking

Valuation & Financial Modelling 38 terms

Business Valuation · Comparable Company Analysis · Discount Factor · Discount Period · Discounted Cash Flow (DCF) · Dividend Discount Model (DDM) · Enterprise Value · Equity Valuation · Equity Value · Equity Value Multiple · EV/EBIT · EV/EBITDA · EV/Revenue · Exit Multiple Method · Fair Market Value · Forward P/E · Going-Concern Value · Gordon Growth Model · Intrinsic Value · Investment Value · Liquidation Value · Market Value · Mid-Year Convention · Multiples Valuation · PEG Ratio · Perpetual Growth Method · Perpetuity · Precedent Transaction Analysis · Price-to-Book Ratio (P/B) · Price-to-Cash-Flow Ratio · Price-to-Earnings Ratio (P/E) · Price-to-Free-Cash-Flow Ratio · Price-to-Sales Ratio (P/S) · Required Rate of Return · Stub Period · Terminal Growth Rate · Trailing P/E · Valuation

Derivatives, Risk & Insurance 30 terms

American Option · Assignment (Option) · At-the-Money · Bermudan Option · Bull Call Spread · Butterfly Spread · Call Option · Covered Call · Deductible · Derivative · European Option · Exercise · Expiration Date · Forward Contract · Futures Contract · Hedging · In-the-Money · Insurance Policy · Intrinsic Value (Option) · Moneyness · Option · Option Premium · Out-of-the-Money · Protective Put · Put Option · Straddle · Strangle · Strike Price · Time Value (Option) · Underlying Asset

Business, Transactions & Private Markets 25 terms

Brand Equity · Business Model · Business Plan · Churn Rate · Competitive Advantage · Copyright · Customer Acquisition Cost · Customer Lifetime Value · Customer Retention · Economic Moat · Franchise Model · Freemium Model · Gross Merchandise Value · Intellectual Property · Licensing Model · Marketplace Model · Net Promoter Score (NPS) · Network Effect · Patent · Platform Business · Revenue Model · Subscription Model · Switching Cost · Trade Secret · Trademark

Statistics & Data 27 terms

Arithmetic Mean · Coefficient of Determination (R-Squared) · Confidence Interval · Correlation · Correlation Coefficient · Covariance · Geometric Mean · Harmonic Mean · Hypothesis Test · Linear Regression · Median · Mode · Multiple Regression · Normal Distribution · Outlier · P-Value · Population · Range · Regression Analysis · Sample · Sampling Bias · Selection Bias · Standard Deviation · Statistical Significance · Survivorship Bias · Variance (Statistics) · Weighted Average

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Open the full dictionary

Questions or topic requests

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